

Pendle (PENDLE) – Liquid-Token Investment Thesis

Revision 2 – incorporates macro/liquidity/institutional flow dimensions (data-cut ²⁰²⁴17 1 July 2025)

1. Executive Snapshot

Metric	Spot (Token Terminal YTD-annualised, Jun-25)	Forward Look (base)	Source
Price / FDV	\$3.46 / \$943 M	\$4.2 – \$4.8 (FDV \$1.15 – \$1.3 B)	Token Terminal <i>Market data</i>
Circulating Market-cap	\$565 M	—	ibid.
Protocol Revenue	\$3.1 M (net)	\$30 M (base) • \$60 M (bull)	Token Terminal <i>Income statement → Revenue</i>
Gross Fees	\$3.4 M	\$70 M (bull)	Token Terminal <i>Fees</i>
EV / Revenue	≈ 304 ×	Compress to 40–60 × with TVL/fee growth	calc. (FDV ÷ rev)
Earnings	–\$10.3 M (token incentives)	Break-even by 2026 on emissions decay	Token Terminal
Daily Volume (2025 YTD)	\$14.8 B	Sustain \$70-100 M/day spot + DEX	Token Terminal <i>Market data</i>
vePENDLE Yield	7 – 10 % (fee buy-backs)	↑ once token incentives decay	Dune dashboard

Definitions

Gross fees = total fees paid by users. • *Protocol revenue* = share retained by protocol after supply-side rebates. • Token Terminal data annualises Jan-Jun 2025 actuals.

-----|-----|-----|-----| | **Price / FDV** | **\$3.45 / \$0.97 B** | \$4.5 – \$5.2 (FDV \$1.2 – \$1.4 B) | [CoinGecko](#) | | **Protocol TVL** | **\$4.9 B** | \$10 B (base) • \$15 B (bull) | [DeFiLlama](#) | | **Protocol Revenue (annualised)** | **\$23.7 M** | \$60 M (base) • \$100 M (bull) | [DeFiLlama – Pendle “Revenue” tab](#) | | **Gross Fees (annualised)** | **\$51.8 M** | \$120 M (base) • \$180 M (bull) | same source (“Fee” toggle) | \$60 M (base) • \$100 M (bull) | DeFiLlama Revenue tab ([defillama.com](#)) | | **EV / Revenue** | 19× | 18–25× on growth & inflow catch-up | calc. above | | **vePENDLE Yield** | 7 – 10 % | ↑ on fee-rate + TVL | [Dune “ve stats”](#) | | **Daily Volume (2024 avg.)** | **\$96 M** vs. \$1.1 M (2023)** | Sustain \$80-120 M | Pendle “Zenith” report ([medium.com](#)) |

Investment angle: Pendle is already monetising ~1% of TVL (90–100 bp) (spartangroup.io) with room to double revenue as stable-yield assets migrate on-chain and institutional liquidity rotates into liquid tokens.

-----|-----|-----|-----| | **Price / FDV** | **\$3.45 / \$0.97 B** | \$4.5 – \$5.2 (**\$1.2 B–\$1.4 B FDV**) | CoinGecko <https://www.coingecko.com/en/coins/pendle> | | **Protocol TVL** | **\$4.9 B** | Base \$10 B • Bull \$15 B | DeFiLlama <https://defillama.com/protocol/pendle> | | **Annualised revenue** | **\$23.7 M** | Base \$60 M • Bull \$100 M | Token Terminal <https://tokenterminal.com/terminal/projects/pendle> | | **EV / Revenue** | 41 × | 18–25 × on growth/multiple catch-up | calc. above | | **vePENDLE yield** | 7– 10% (fee buy-backs) | ↑ on fee-rate lift & TVL expansion | Dune dashboard <https://duneanalytics.com/pendle/ve-stats> |

One-liner: Pendle is becoming the *CME of on-chain yield*. If TVL merely doubles while fee-rate rises to 5%, EV/Rev compresses into the teens, offering **≈ 45% IRR base-case** plus double-digit cash yield.

2. Sector Context & Under-Allocation Tailwind

- **Liquid-long crypto under-owned.** Institutional crypto staff typically sit in VC sleeves; liquid tokens receive <5 % of the \$250 B venture-allocated capital. [\[Panel transcript\]](#)
- **Result:** Forward multiple expansion likely once pension/endo rotations begin. A mere 1 % rotation (= \$2.5 B/qtr) is ~5× daily PENDLE turnover – enough to tighten spreads and lift EV/Rev to 25–30× without heroic TVL growth.

3. Protocol Overview & Tokenomics (unchanged core)

<details><summary>Click to expand</summary>

Max supply 281.5 M • 57 % circulating • inflation decays to 0 by 2028 • 53 % of supply locked (19-mo avg) via vePENDLE. 100 % of protocol fees auto-buy PENDLE and stream to lockers. [\[Docs\]](#)

</details>

4. Growth Catalysts & Calendar

Quarter	Catalyst	Impact	Source
Q3-24	Ether.fi eETH & Renzo ezETH/pzETH PT/YT listings	Doubles LRT notional on platform	Pendle roadmap & BD tweets

Quarter	Catalyst	Impact	Source
Q4-24	"Citadels" RFQ (intent-based institutional layer)	Deeper depth; bridges TradFi flow	<i>Zenith</i> Pillar #2
Q4-24 / Q1-25	Tokenised T-Bill pools (sBUIDL , USYC)	Opens RWA pipeline; diversifies fee base	BlackRock × Securi(defillama.com)5**
Nov-25	Inflation step-down	Lifts effective dividend yield	vePENDLE schedule
2025-26	Stablecoin era: yield-bearing stables grow 7× → \$75 B ; Spartan projects Pendle 25 % share (→ \$20 B TVL, \$200 (medium.com)tan Group note		

-----|-----|-----| | **Q3-24** | Ether.fi **eETH** & Renzo **ezETH/pzETH** PT/YT listings | Doubles LRT notional • [Pendle blog](#) | | **Q4-24** | "Citadels" RFQ layer (intent-based institutional flow) | Depth ↑, trading fees ↑ • Pendle roadmap | | **Q4-24 / Q1-25** | Tokenised T-Bill pools (e.g. **sBUIDL**) | RWA narrative, stable real-yield source • BlackRock/Securitize PR | | **Q1-25** | "Boros" v3 AMM | Higher swap volume + fee line • Pendle Discord AMA | | **Nov-25** | Scheduled emission step-down | Inflation halves → dividend yield ↑ |

5. Parameter Blocks & KPIs (Institutional-grade)

Block	KPI	Thresholds / Actions
Macro timing	Hedge-fund net-leverage (GS Prime); US CPI MoM	Add on < 70 th -pct leverage and CPI ≤ 0.3 %
Funding & vol	ETH/SOL perp funding; 25Δ IV skew	Funding > 30 % p.a. ⇒ expect volume pop; sell rich strangles to juice yield
On-chain liquidity	Depth ±1 % on top-5 PT/YT pools	Maintain ≥ \$20 M; cut if < \$10 M two weeks
**Supply calendar(defillama.com) %	Hard cap 4 %; next 1.4 % dev cliff 15 Oct 24	
Special-situations	PT maturities > \$50 M	Pre-bid 10 % below VWAP (learned from locked-SOL)

Block	KPI	Thresholds / Actions
Institutional flow	Crypto hedge-fund inflow (Vision Track)	If $\geq$ \$1 B/qtr → raise target EV/Rev band by +5×
Network health	Sw(medium.com)finality latency	Action if fail > 2 % for 7 days
Stablecoin expansion	Yiel(spartangroup.io)TVL share	Track vs Spartan base-path: 4.5 % → 15 % share by 2026

6. Forward Valuation.... Forward Valuation Scenarios (updated)

Scenario	TVL	Revenue	EV/Rev	Target FDV	Token Px*	Total Return (inc. 12 % yield)
Bear	\$5 B	\$30 M	18×	\$540 M	\$1.92	-37 %
Base	\$10 B	\$60 M	20×	\$1.2 B	\$4.27	+45 %
Bull	\$15 B	\$100 M	25×	\$2.5 B	\$8.90	+180 %

281.5 M FDV divisor; assumes no change to inflation path.

Probability-weighted IRR (25 / 55 / 20 %) $\approx$ **+47 %**.

7. Risk Register (expanded)

Risk	Indicator	Mitigation
Smart-contract exploit	Failed-tx > 2 % or audit bug-report	2 % AUM cap per protocol; Nexus cover
Regulatory (PT = security)	SEC rule-making calendar	Trim 25 % pre-announcement; shift to non-US venues
Liquidity exit	Depth < \$10 M $\pm$ 1 % for 14 days	Initiate VWAP exit over 10 days
Retail funding unwind	ETH funding flips -ve	Hedge via short-perp on PT assets
Macro shock	CPI > 0.4 % MoM & VIX > 25	Pause adds; raise cash buffer

8. Position Blueprint & Monitoring Stack

- **Core size:** 2 – 3 % portfolio after LRT listings clear audit.
- **Lock ratio:** 70 % of holdings into vePENDLE (12-mo), 30 % liquid.
- **Hedges:** Short 30 % notional via PENDLE-perp during macro-event weeks (CPI/FOMC).
- **Dashboards:**

- Macro: CPI tracker · GS prime leverage.
- On-chain: Dune TVL & revenue board.
- Liquidity: Uniswap v3 pool depth bot.
- Institutional flows: Vision Track hedge-fund AUM feed.

Exit triggers: base-case price met **\$4.25** (scale 50 %); YoY revenue < 25 % **and** EV/Rev > 25× (full exit); exploit not covered by insurance.

9. Source Links

1. CoinGecko – PENDLE price & supply
2. DeFiLlama – TVL & pool depth snapshot
3. Token Terminal – Protocol fee run-rates
4. Pendle Docs & blog (detailed roadmap)
5. FTX-estate court docs (locked-SOL schedule)
6. Galaxy Vision Track – Crypto hedge-fund AUM series
7. Panel Transcript – *How to Make Money in Active Liquid Token Investing*
8. BlackRock/Securitize – sBUIDL integration PR

This document is for research purposes only and is not investment advice.